PolicyLens_Internal - OFFICIAL REGULATORY DIRECTION
Internal Policy on Fair Penal Charges and Foreclosure Fee Schedule

Document ID: DOC_004 | Issuer: PolicyLens_Internal | Issue Date: 2025-07-12 | Source: https://compliance.policylens.example.org/policies/penal-charges-2025

Chapter 1: Operational Compliance Guidelines (DOC_004)

Chapter 2: Operational Compliance Guidelines (DOC_004)

Section 3.3: Schedule of Penal Charges and Prepayment Exemptions

3.1 Prohibition on Capitalisation of Penal Interest
In compliance with RBI Fair Lending Directions, noncompliance with material loan covenants shall attract solely flat or non-compounding penal charges. Under no circumstances shall penal charges be added to the rate of interest or compounded on unpaid interest.

3.3 Approved Schedule of Charges
Floating-rate term loans sanctioned to individual borrowers for non-business purposes are completely exempt from foreclosure or prepayment charges. Applicable charges for all segments are listed below.

Table 3.1: Mandatory Regulatory Schedule (DOC_004)

Event / Covenant Breach	Borrower Segment	Approved Charge Rate	Compounding Allowed	GST Applicability
EMI Default / Dishonour			No (Simple Only)	18% Extra
Foreclosure (Floating Rate)	Individual - Non-Business	Nil (0.00%)	Not Applicable	Exempt
Foreclosure (Fixed Rate)			No	18% Extra
Foreclosure (Fixed Rate)			No	18% Extra
			No	18% Extra

Chapter 4: Operational Compliance Guidelines (DOC_004)

Chapter 5: Operational Compliance Guidelines (DOC_004)